EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Gonzaga, Cagayan was established as a regular municipality in 1918. It was first named as "Rumang-ay", meaning progressive, and was later renamed in honor of Graciano Gonzaga, the first Filipino Governor of Cagayan. It was found, however, that there is no record available that should show any specific law for its creation.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Gonzaga for the year 2023 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Gonzaga, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Particulars	2023	2022	Increase/ (Decrease)
Financial Position			
Assets	659,664,969.35	715,671,410.84	(56,006,441.49)
Liabilities	115,353,922.04	103,710,343.31	11,643,578.73
Government Equity	544,311,047.31	611,961,067.53	(67,650,020.22)
Financial Performance			
Income	300,707,898.28	347,712,758.50	(47,004,860.22)
Expense	334,875,276.97	276,534,500.19	58,340,776.78
Net Income	(34,167,378.69)	71,178,258.31	(105,345,637.00)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2023, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Concreting of FMR/ Barangay Road (Tuktukarao & Castillo Section)	1,998,522.32
Concreting of FMR/ Barangay Road	1,931,861.26
Construction of Agricultural Training Center, P2	1,495,138.32
Establishment of Parking Area, Phase 3	1,998,563.46
Construction of Slope Protection	1,932,793.81
Construction of Evacuation Center, Phase II	1,498,310.63
Concreting of Road	1,930,188.75
Rehabilitation of Barangay Road	1,931,394.38
Construction of Evacuation Center, Phase II	1,497,198.32
Construction of Fish Port, Phase II	1,497,664.00
Construction of Evacuation Center, Phase II	1,497,480.96
Concreting of Road	1,997,114.98
Concreting of Road (135 ln.m.)	1,931,264.44
Construction of Child Development Center	2,713,724.82
Concreting of Barangay Road (B. Castillo st.)	3,996,813.23
Construction of 6th Cell Sanitary Landfill (SLF)	2,999,749.00
Concreting of FMR/ Barangay Road, Gaspar- Sablay Road	4,998,018.00
Concreting of FMR/ Barangay Road	2,248,284.98
Installation of Streetlights along National Road (Cab. Sur, Pateng, Calayan & Baua)	2,698,163.06
Construction of Three(3) Storey Public Market Building, Phase 5 & 6	11,994,750.00
Renovation of LNB Building	4,497,899.45
Concreting of Gaspar- Sablay Road (121.50 ln.m.)	4,996,161.50
Expansion of Health Center	4,361,756.37
Construction of 3- Storey Public Market Building, Phase VII	5,802,738.00
Installation of Streetlights	1,397,527.89
Total	**75,843,081.93**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of presentation of the financial statements of the Municipality of Gonzaga, Cagayan for the year ended December 31, 2023 due to: (1) non-conduct of the one-time cleansing procedures for its PPE and non-submission of the Report on Physical Count of Property, Plant and Equipment of the Municipality, with a net book value of P367,118,383.87 and (2) inappropriate recording of donations totaling P51,926,043.28.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The balances between the General Ledgers and Cashbooks of the Municipal Treasurer showed a difference of P301,410.22 in the Cash Local Treasury account due to non-reconciliation of records between the Accounting and Treasury Offices, contrary to Book Two, Chapter 2, Section 63 of the Local Treasury Operations Manual of the Bureau of Local Government Finance dated October 1, 2007, thereby, affecting the reliability of the cash account of the Municipality appearing in the financial statements.

   We recommended that the Municipal Accountant and the Municipal Treasurer reconcile their records regularly as provided in Book 2, Chapter 2, Section 63 of Local Treasury Operation Manual of the Bureau of Local Government Finance to ensure the correctness and reliability of the Cash Local Treasury account at any given time.

2. Nine (9) motor vehicles of the Municipality remained unregistered with the Land Transportation Office and uninsured with the GSIS, contrary to Item 3 of COA-OBM-MOF-MOTC Joint Circular No. 1-85 dated April 30, 1985, thus, exposing the Municipality to risks of loss arising from penalties and sanctions due to irregular use of these vehicles and against man-made calamities and force majeure.

   We recommended that the Local Chief Executive:

   a. Direct the concerned officials to apply for the registration of the said vehicles with the LTO to establish ownership over the vehicles and to avoid unnecessary penalties and sanctions arising from the use of unregistered vehicles;

   b. Apply for the annual insurance coverage with the GSIS to insure the vehicles from any vehicular accidents, theft or natural disasters; and

   c. Ensure that all vehicles owned by the government are registered with LTO on time in order to avoid penalties due to late registration which should not be borne by the government but considered as personal liability of the concerned personnel.

3. The appropriations for the Local Disaster Risk Reduction and Management Fund during the year were not optimally utilized to implement disaster related programs, projects and activities incorporated in the LDRRMF Investment Plan resulting in the utilization rate of 33.95 percent or P7,631,645.28, thereby defeating the objective of strengthening the resiliency of communities and enhancing disaster preparedness and response capabilities of the LGU at all levels.

We recommended that the Local Chief Executive direct the MDRRM Officer to strive for the timely and full implementation of LDRRM related PPAs to achieve the goals and objective of the fund, as well as the desired benefits, in compliance with Republic Act No. 10121.

F. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-		-	-	-
Total	-	-	-	-	-
Disallowances	-				
Prior Years	1,819,251.46	-	-	1,819,251.46	-
Current Year	-	-	-	-	-
Total	**1,819,251.46**	-	-	**1,819,251.46**	-
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

G. Status of Implementation of Prior Years' Audit Recommendations

Out of fifteen (15) audit recommendations in the prior years' Annual Audit Reports, five (5) were implemented, two (2) was partially implemented, and eight (8) were not implemented.